

INSURANCE AND PENSIONS COMMISSION



THIRD QUARTER REPORT

FOR

SELF ADMINISTERED PENSION FUNDS

PERIOD ENDED 30 SEPTEMBER 2016

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2.0 Industry Overview

This report summarizes cumulative performance indicators for 16 standalone funds, 4 fund administrators, and 3 life assurers. For the year to date, self-administered funds reported contributions amounting to \$364million from \$477 million reported in the same period last year

although \$209million or 57% were in contribution arrears (September 2015: \$290million or 56%). Various legislative and other engagements with the sponsoring employers have taken place to make good their arrears.

To preserve member values and benefits and to promote administrative efficiency, IPEC has jealously monitored expense ratios. Resultantly the expenditure rationalization caused cost cuts from the previous \$32million to the current \$27 million. Expense ratios correspondingly declined to close the period at 17%.

The total asset base for the funds grew from \$1,916 billion recorded previously to the current \$2,238 billion despite the current unattractive investment returns. Uptake of prescribed assets has increased markedly as a result of regulator-industry engagements to ensure at least 10% was subscribed to fund government capital projects in line with the law (See Table 1, below).

2.2 Financial Summary for Self-Administered Funds for the period January-30 September 2016

	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
Arrear Contributions (\$000)	213,647	133,623	-36%	37,906	40,133	6%	38,248	35,722	-7%	289,801	209,478	-28%
Total Contributions (Incl.Arrears) (\$000)	323,043	212,446	-34%	75,660	74,750	-1%	78,560	77,237	-2%	477,263	364,433	-24%
Total Contributions (Excl. Arrears) (\$000)	109,396	78,823	-28%	37,755	34,618	-8%	40,312	41,515	2%	187,463	154,956	-17%
Total Income (\$000)	108,902	123,229	14%	36,515	38,819	6%	65,416	63,931	-2%	210,833	225,979	7%
Total Benefits	53,592	61,269	14%	14,265	21,729	52%	31,327	34,901	11%	99,184	117,899	19%
Total Expenses (\$000)	14,022	13,173	-6%	10,086	6,142	-39%	8,323	7,977	-4%	32,431	27,292	-16%
Net Income(\$000)	41,288	49,782	21%	12,164	10,948	-10%	25,766	5,804	-77%	79,218	66,534	-16%
(Expense/Contributions)%	13%	16%	3%	27%	18%	-9%	21%	19%	3%	17%	18%	1%
(Expense/Total Income)%	13%	11%	-2%	28%	16%	-12%	13%	12%	-1%	15%	12%	-3%
Total Assets (\$000)	1,168,352	1,366,429	17%	311,622	341,675	10%	436,300	529,424	21%	1,916,274	2,237,528	17%
Prescribed Assets (\$000)	47,177	61,651	31%	14,123	32,777	132%	19,907	60,270	203%	81,207	154,698	90%
Prescribed Asset Ratio (%)	3%	5%	2%	5%	10%	5%	5%	11%	7%	4%	7%	3%

SECTION A

STAND ALONE FUNDS

- **Standalone Self-Administered Pension Funds**

This report is on 17 standalone funds (See Table 1, below).

Table 1: Standalone Self-Administered Pension Funds

Fund Name	September 2016
Catering IPF	1
Clothing IPF	1
CAIPF	1
CIPF	1
LAPF	1
MIPF	1
NRZ	1
ZB FHGPF	1
ZMDC	1
Zimbabwe Electricity Industries P/F	1
ZESA P/F	1
Grain Marketing Board(GMB)	1
Motor Ind	1
Unified Councils P/F	1
Pentact (Pvt) Limited	1
SBM	1
TOTALS	16

4.0 Pension Fund Membership

Total fund membership was composed of 184,000 actives members or 56% (Sept 2015: 200, 000 or 58%), deferred pensioners were 108,000 or 33% which saw an increase of 4% from the same period last year (Sept 2015: 97,000 or 28%), Pensioners were 7% of the total membership totaling 24, 900 whereas in 2015 they were 7% or 24,500 whilst the balance were the beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the period ended 30 September 2016

Fund	Active members				Deferred Pensioners			F/Pensioners			Widows & Others			Exits			Total Membership		
	Sep-15	Sep-16	%		Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
CIPF	14,349	13,887	-3%		21,534	34,102	58%	0	159	-	159	0	-	0	0	0%	36,042	48,148	34%
CLIPF	13,641	13,641	0%		10,428	11,039	6%	0	0		0	0	0%	-443	-184	-58%	25,512	24,864	-3%
CAIPF	2,993	2,899	-3%		4,135	4,221	2%	1,605	1,821	13%	2,856	2,858	0%	-263	-79	-70%	11,589	11,799	2%
CIPF	56,137	46,955	-16%		5,907	6,063	3%	69	65	-6%	112	117	4%	-864	-533	-38%	62,225	53,200	-15%
CFI	*	602	-		*	0	-	*	0	-	*	0	-	*	-56	-	*	602	-
LAPF	19,105	17,995	-6%		0	0	-	5,195	5,246	1%	7,482	7,263	-3%	-40	-86	115%	31,782	30,504	-4%
MIPF	25,772	22,830	-11%		46,096	46,137	0%	8,580	9,206	7%	1,346	758	-44%	-1435	-2,222	55%	81,794	79,576	-3%
NRZ	5,895	5,261	-11%		2,025	2,273	12%	4,681	5,079	9%	6,840	7,031	3%	-607	-199	-67%	19,441	19,644	1%
ZB FHF	1,994	643	-68%		2,615	893	-66%	1,093	229	-79%	518	142	-73%	-9	-17	89%	6,220	1,907	-69%
ZMDC	173	162	-6%		0	0	-	73	74	1%	78	78	0%	0	0	-	324	314	-3%
ZIEPF	6,749	6,585	-2%		0	0	-	511	720	41%	222	289	30%	0	0	-	7,482	1,009	-87%
ZESA P/F	0	0	-		3,009	2540	-16%	2,556	2,017	-21%	2,058	2,704	31%	0	0	-	4,614	4,721	2%
GMB	1,936	678	-65%		686	689	0%	27	21	-22%	0	0	-	-54	-16	-70%	2,649	1,388	-48%
MoiPF	46,136	46,286	0%		0	0	-	129	135	5%	27	126	367%	0	0	-	46,292	46,421	0%
UCP/F	5,192	5,323	3%		117	29	-75%	-	105	-	80	1	-99%	-188	-182	-3%	5,309	5,458	3%
Pentact	*	3	-		*	0	-	*	0	-	*	0	-	*	0	-	*	3	-
SBM	5	5	0%		1	1	0%	0	0	-	0	0	-	0	0	-	6	6	0%
Totals	200,077	183,755	-8%		96,553	107,987	12%	24,519	24,877	1%	21,778	21,367	-2%	-3,903	-3574	-8%	341,281	329,564	-3%

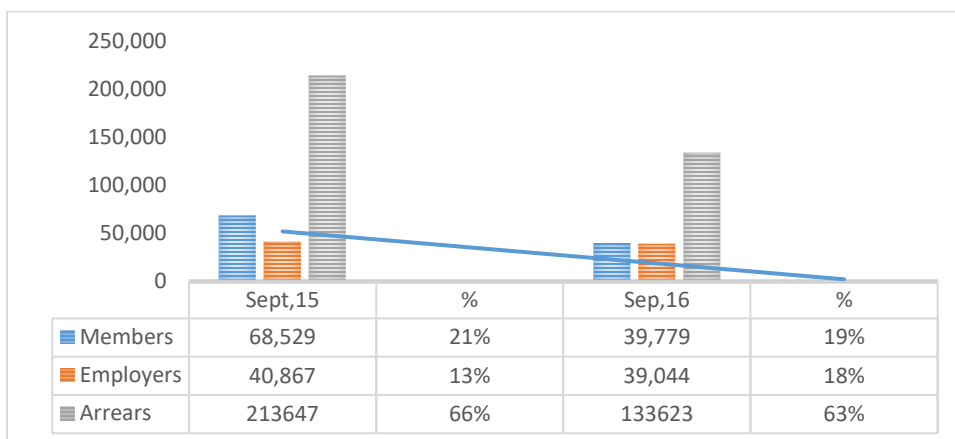
- **Contributions**

Employers contributed \$39million or 18% whilst members contributed \$40million or 19% of total contributions (September 2015: \$41million or 13%: \$69million or 21%). The challenge of spiraling arrear contributions continues to put pressure on the industry due to viability constraints as reflected by the fact that the balance of \$133million or 63% of total contributions was in arrears (September 2015: \$214million or 66%).The Commission continues to engage sponsoring employers with a view to manage this challenge (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the period ended 30 September 2016

Fund	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers			Sep-15	Sep-16	%
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%			
CIPF	1,752	786	-55%	876	786	-10%	0	0	0%	41	524	1178%	2,669	2,096	-21%
Clo IPF	1,318	640	-51%	769	896	17%	418	403	-4%	1,903	1,904	0%	4,408	3,843	-13%
CAIPF	885	293	-67%	619	880	42%	2,316	436	-81%	21,528	28,478	32%	25,348	30,087	19%
CIPF	2,300	1,284	-44%	1,150	1,284	12%	0	0	0%	316	206	-35%	3,766	2,274	-40%
LAPF	22,618	5,529	-76%	16,805	15,994	-5%	0	0	0%	141,669	19,846	-86%	181,092	41,369	-77%
MIPF	23,283	10,852	-53%	11,597	10,864	-6%	0	73	0%	1,118	1,563	40%	35,998	23,352	-35%
NRZ	2,469	2,141	-13%	0	435	0%	0	0	0%	532	0	-100%	3,001	2,576	-14%
ZBGPF	1,050	421	-60%	626	604	-4%	0	0	0%	0	0	0%	1,676	1,025	-39%
ZMDC	119	0	-100%	84	162	93%	0	0	0%	1,996	2,709	36%	2,199	2,871	31%
ZimEIF	5,594	15,305	174%	3,804	3,828	1%	7,223	0	-100%	15,348	42,199	175%	31,969	61,332	92%
ZESA P/F	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%
GMB	1,508	127	-92%	1,226	527	-57%	760	943	24%	4,668	6,736	44%	8,162	8,333	2%
MotPF	4,089	1,636	-60%	2,453	1,637	-33%	1,303	1,698	30%	1,954	4,244	117%	9,799	9,215	-6%
UC P/F	1,542	763	-51%	857	1,144	33%	998	980	-2%	9,556	20,681	116%	12,953	23,568	82%
Pentact	*	1	0%	*	2	0%	*	0	0%	*	0	0%	*	3	0%
SBM	2	1	-50%	1	1	0%	0	0	0%	0	0	0%	3	2	-33%
Total	68,529	39,779	-42%	40,867	39,044	-4%	13,018	4,533	-65%	200,629	129,090	-36%	323,043	212,446	-34%

Figure 2: Contributions Statistics per Standalone Fund for the period ended 30 September 2016(\$000)



- **Income and Expenditure**

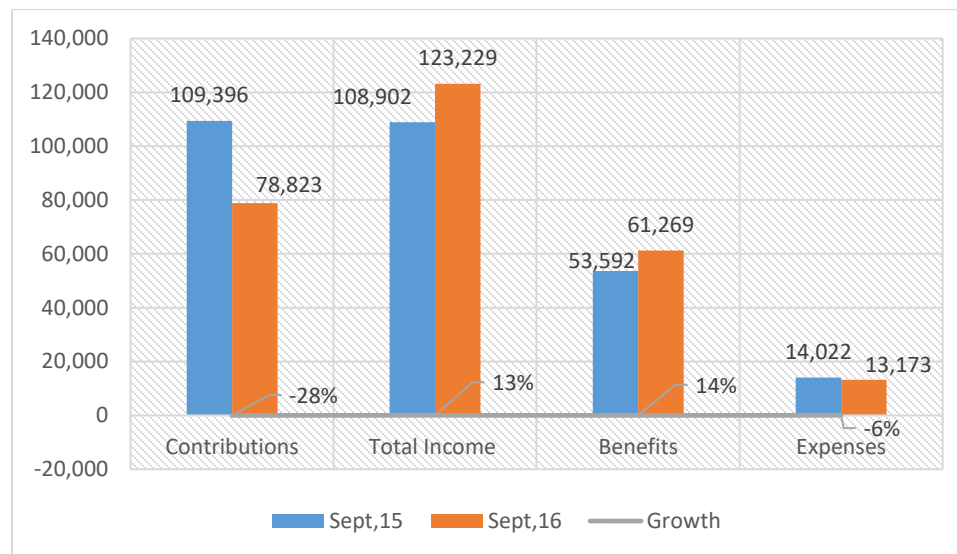
For the period under review, standalone funds received contributions to the sum of \$79 million (September 2015: \$109 million) whilst administration expenses were \$13million (September 2015: \$14 million). Benefits have increased from \$54million in 2015 to \$61million for the cumulative 9months ended 30 September 2016.

Due to the knock-on effect of administrative expenses on member values and benefits, IPEC is closely monitoring expense ratios with a view to preserve same. This becomes a critical survival avenue not only because of huge arrear contributions but also unattractive investment returns in the economy (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the year to date ended 30 September 2016 (\$'000)

Fund	Total Contributions (Excl arrears) (\$'000)			Total Income (\$'000)			Total Paid Benefits (\$'000)			Expenses (\$'000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
CatIPF	2,628	1,572	-40%	2,539	2,880	13%	994	860	-13%	901	721	-20%	46%	46%	-7%	35%	25%	-10%
Clothing IPF	2,087	1,536	-26%	2,364	2,684	14%	298	290	-3%	685	980	43%	33%	64%	31%	29%	37%	8%
CAIPF	1,504	1,173	-22%	9,008	3,522	-61%	8,210	2,728	-67%	1,880	998	-47%	125%	85%	-40%	21%	28%	-7%
CIPF	3,450	2,568	-26%	2,222	3,139	41%	1,080	862	-20%	1,450	1,230	-15%	42%	48%	6%	65%	39%	26%
LAPF	39,423	21,523	-45%	29,432	27,529	-6%	16,316	17,036	4%	1,718	1,368	-20%	4%	6%	2%	6%	5%	-1%
MIPF	34,880	21,716	-38%	32,698	34,817	6%	8,685	12,267	41%	2,733	2,552	-7%	8%	12%	4%	8%	7%	-1%
NRZ	2,469	2,576	4%	13,426	13,559	1%	13,349	19,116	43%	1,558	1,568	1%	63%	61%	-2%	12%	12%	-
ZB FHGPF	1,676	1,025	-39%	1,958	1,857	-5%	957	1,540	61%	158	101	-36%	9%	10%	1%	8%	5%	-3%
ZMDC	203	162	-20%	589	772	31%	143	151	6%	49	19	-61%	24%	12%	12%	8%	2%	-6%
ZELPF	9,398	19,133	104%	6,429	21,324	232%	372	520	40%	356	328	-8%	4%	2%	-2%	6%	2%	-4%
ZESA P/F	0	0	0%	0	3,067	0%	0	2,196	0%	0	375	0%	0%	0%	0%	0%	12%	12%
GMB	2,734	654	-76%	2,128	1,429	-33%	182	148	-19%	457	405	-11%	17%	62%	45%	21%	28%	7%
Motor Ind	6,542	3,273	-50%	4,462	4,631	4%	2,744	2,955	8%	941	957	2%	14%	29%	15%	21%	21%	0%
UCP/F	2,399	1,907	-21%	1,644	2,002	22%	262	488	86%	1,136	1,571	38%	47%	82%	35%	69%	78%	9%
Pentact	*	3	0%	*	14	0%	*	0	0%	*	-	0%	*	0%		*	0%	-
SBM	3	2	-33%	3	3	0%	0	0	0%	0	-	0%	0%	0%	10%	0%	0%	6%
Totals	109,396	78,823	-28%	108,902	123,229	13%	53,592	61,269	14%	14,022	13,173	-6%	13%	17%	3%	13%	11%	-2%

Figure 3: Income and Expenditure for Standalone Funds for the current year to date ended 30 September 2016(\$'000)



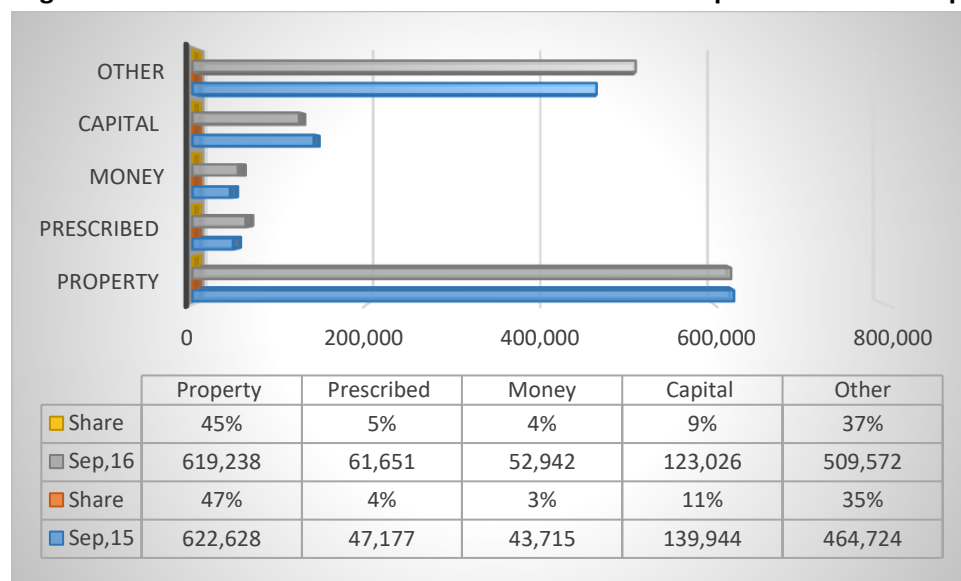
- Fund Assets

For the current review period, Standalone funds invested \$619million or 45% in property (September 2015:47% or \$623million),9% or \$123million in capital market securities (September 2015:11% or \$140million),4% or \$53million in money market investments{September 2015:3% or \$44million }, 37% or \$510million in other securities{September 2015:35% or \$465million, } and 5% or \$62million in prescribed assets(September 2015:4% or 47million)(See Table 5 and Figure 4, below).

Table 5 : Fund Asset Values for Standalone Funds for the period ended 30 September 2016(\$'000)

Fund	Immovable Property (\$000)			Prescribed Assets (\$000)			Money Market Securities (\$000)			Capital Market Securities (\$000)			Other (\$000)			Total (\$000)		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
CatIPF	8,979	8,744	-3%	85	978	1051%	39	144	269%	4,840	4,838	0%	1,376	2,028	47%	15,319	16,732	9%
ClotIPF	10,845	10,684	-1%	378	472	25%	2,754	2,732	-1%	3,183	2,582	-19%	2,371	2,273	-4%	19,531	18,743	-4%
CAIPF	88,654	90,649	2%	9,610	10,394	8%	4,070	3,500	-14%	11,681	6,116	-48%	47,524	55,648	17%	161,539	166,307	3%
CIPF	17,196	17,620	2%	492	433	-12%	0	0	0%	7,851	6,685	-15%	1,994	4,214	111%	27,533	28,952	5%
LAPF	82,165	82,165	0%	0	403	0%	0	0	0%	29,102	26,055	-10%	149,836	176,517	0%	111,267	285,140	156%
MIPF	102,336	96,655	-6%	11,053	9,157	-17%	6,338	4,014	-37%	43,732	43,104	-1%	7,764	8,883	14%	171,223	161,813	-5%
NRZ	227,641	220,611	-3%	5,442	12,338	127%	6,484	12,724	96%	13,326	10,081	-24%	174,733	146,807	-16%	427,626	402,561	-6%
ZB FHGPF	4,877	4,861	0%	6,068	1,841	-70%	6,557	7,143	9%	5,254	5,031	-4%	0	117	0%	22,756	18,993	-17%
ZMDC	1,561	1,574	1%	100	1,648	1548%	524	254	-52%	0	151	0%	3,926	3,039	-23%	6,111	6,666	9%
ZELSA P/PF	32,092	39,418	23%	7,564	13,167	74%	9,800	13,950	42%	3,973	3,392	-15%	49,302	69,312	41%	102,731	139,239	36%
ZESA P/F	23,360	20,420	-13%	1,000	4,739	374%	1,320	2,222	68%	4,173	3,345	-20%	5,534	7,472	35%	35,387	38,198	8%
GMB	6,373	9,478	49%	322	0	-100%	5	37	640%	20	0	100%	6,314	7,494	19%	13,034	17,009	30%
MotIPF	8,805	9,442	7%	4,965	5,733	15%	5,550	6,177	11%	12,792	11,625	-9%	3,757	4,897	30%	35,869	37,874	6%
UC P/F	*	0	0%	*	0	0%	*	0	0%	*	7	0%	*	219	0%	0	226	0%
PEN	7,744	6,917	-11%	96	345	259%	260	30	-88%	9	7	-22%	10,293	20,652	101%	18,402	27,951	52%
SBM	0	0	0%	2	3	50%	14	15	7%	8	7	-13%	0	0	0%	24	25	4%
Totals	622,628	619,238	-1%	47,177	61,651	31%	43,715	52,942	21%	139,944	123,026	-12%	464,724	509,572	10%	1,168,352	1,366,429	17%

Figure 4: Fund Asset Values for Standalone Funds for the period ended 30 September 2016(\$000)



SECTION B:

INSURER ADMINISTERED FUNDS

- **Insurer Self-Administered Pension Funds**

This report covers 33 funds administered by four insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	September 2016
First Mutual	5
Old Mutual	26
Zimnat	2
TOTALS	33

2.0 Pension Fund Membership

Total fund membership for insurer administered funds was 28,000 shared between 27,000 actives (96%), pensioners-1047 (4%) and the balance being beneficiaries and deferred members. This membership is skewed towards active members. (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self-Administered Pension Funds for the period ended 30 September 2016

Insurer	Active members			Deferred			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-16	Sep-16	Growth
First Mutual	4,446	4,411	-1%	0	0	0%	0	48	100%	0	5	100%	-257	-	-35%	4,446	4,464	0%
Old Mutual	21,581	21,990	2%	43	43	0%	1,788	999	-44%	461	354	-23%	-968	-	-26%	23,873	23,386	-2%
Zimnat	218	191	-12%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	218	191	-12%
Totals	26,245	26,592	1%	43	43	0%	1,788	1,047	-41%	461	359	-22%	-1225	-881	-28%	28,537	28,041	-2%

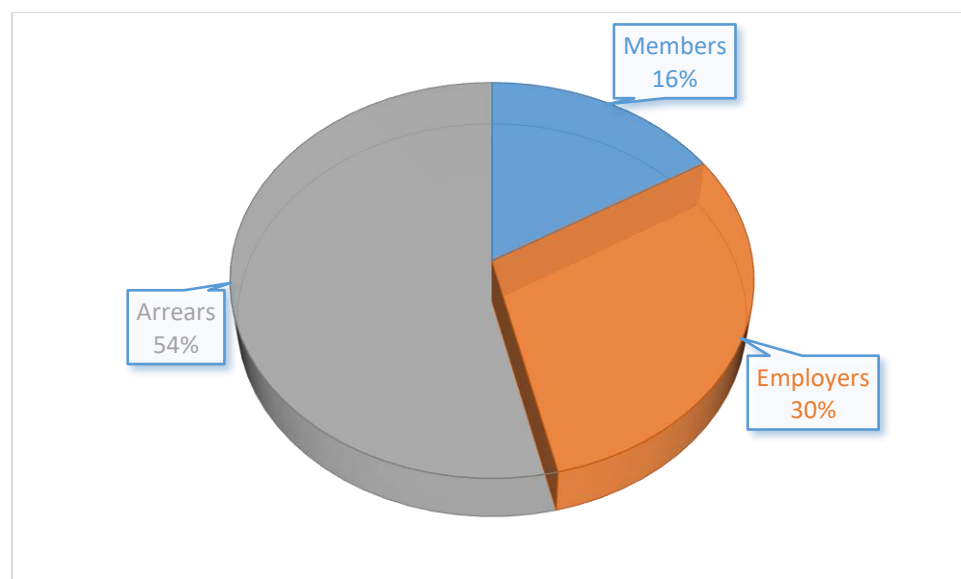
3.0 Contributions

Member contributions were 16% or \$12million, (September 2015: \$13million or 17%) whilst sponsoring employers paid \$22million or 30% (September 2015: \$25million or 33%) whilst 54% or \$40million were in arrears (September 2015: \$38million or 50%). We continue to engage sponsoring employers to remit pensions contributions timeously given the mandatory nature of contribution arrears (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for period ended 30 September 2016

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
F.Mutual	4,958	4,085	-18%	7,105	5,263	-26%	0	0	0%	28,655	30,536	7%	40,718	39,884	-2%
O.Mutual	7,994	7,886	-1%	17,218	16,898	-2%	0	0	0%	9,223	9,539	3%	34,435	34,323	0%
Zimnat	204	189	-7%	275	296	8%	0	0	0%	28	58	107%	507	543	7%
Totals	13,156	12,160	-8%	24,598	22,457	-9%	0	0	0%	37,906	40,133	6%	75,660	74,750	-1%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the period ended 30 September 2016(\$000)



- Income and Expenditure**

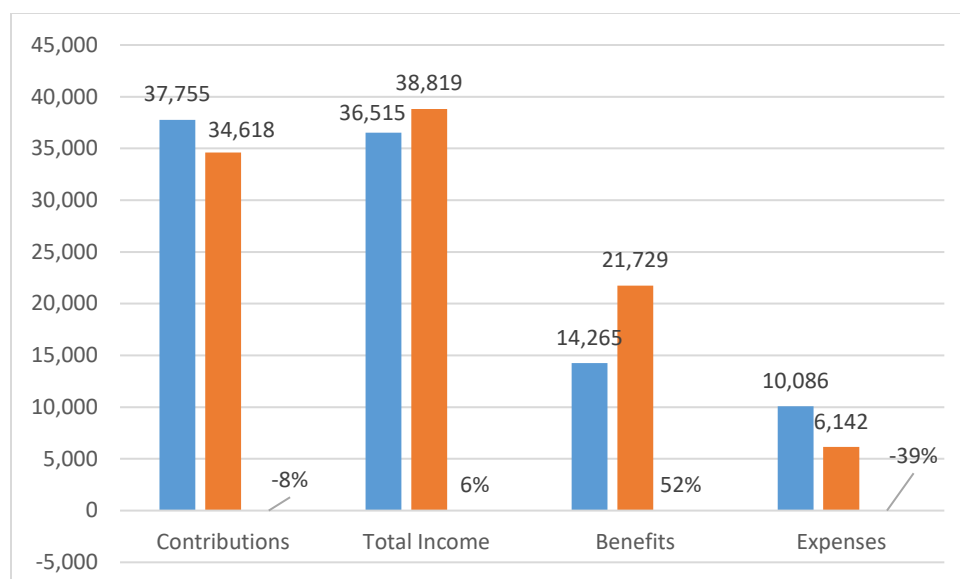
As highlighted above, insurers received \$35million in contributions from self-administered funds, an 8% decline from the same period last year. Total income, however, increased by 6% from \$36,5million as at September 2015 to \$38,8million for the current review period. Following IPEC's intervention in relation to prudent cost rationalization, the administration bill declined by 39% from \$10million previously to the current \$6million.

Resultantly the expenses to contributions and expenses to income ratios were 18% and 16% respectively (September 2015:27% and 28%). As highlighted above, the declining expense ratios are a result of close regulatory monitoring and industry engagements on the need for tight cost management. (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the period ended 30 September 2016

Ins.	Total Contributions (Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
FML	12,064	9,348	-23%	12,199	9,757	-20%	3,095	6,321	104%	4,671	1,255	-73%	39%	13%	-26%	38%	13%	-25%
OM	25,212	24,784	-2%	23,528	28,692	22%	10,841	15,211	40%	5,111	4,793	-6%	20%	19%	-1%	22%	17%	5%
Zimnat	479	486	1%	788	370	-53%	329	197	-40%	304	94	-69%	63%	19%	-44%	39%	25%	-14%
Totals	37,755	34,618	-8%	36,515	38,819	6%	14,265	21,729	52%	10,086	6,142	-39%	27%	18%	-9%	28%	16%	-12%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the period ended 30 September 2016(\$000)



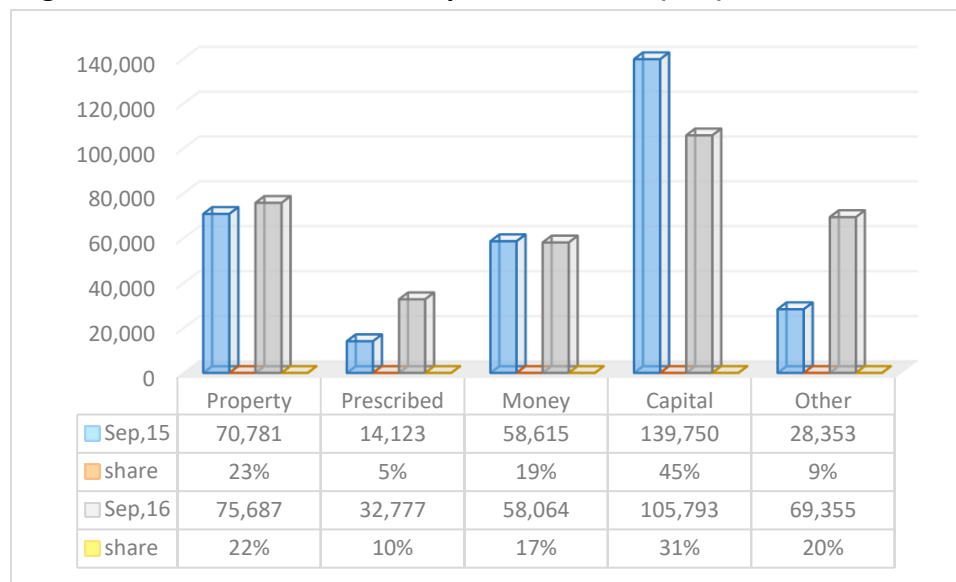
- **Fund Assets**

As at 30 September 2016, insurer administered funds invested \$76million or 22% in properties[September 2015:\$71million or 23%], 31% or \$106million in capital market securities[September 2015:45% or \$140million],17% or \$58million in money market securities[September 2015:19% or \$59million],20% or \$69million in other securities[September 2015:9% or \$69million] and 10% or \$33million in prescribed assets [September 2015 :5% or \$14million].Whilst these funds are subscribed to the tune of 10% in prescribed assets in line with statutory provisions, compliancy should be maintained as such on a continuous basis.(See Table 5 and Figure 4, below)

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 30 September 2016

Ins.	Property\$(000)			Prescribed Assets\$(000)			Money Securities\$(000)			Capital Securities\$(000)			Other\$(000)			Total\$(000)		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
FML	13,187	16,271	23%	523	734	40%	4,670	0	-	21,415	734	-97%	15,468	53,846	248%	55,263	71,585	30%
OM	57,594	59,416	3%	13,336	31,542	137%	52,898	57,989	10%	116,278	103,076	-11%	12,662	14,428	14%	252,768	266,451	5%
Zimnat	0	0	0%	264	501	90%	1,047	75	-93%	2,057	1,983	-4%	223	1,081	385%	3,591	3,639	1%
Totals	70,781	75,687	7%	14,123	32,777	132%	58,615	58,064	-1%	139,750	105,793	-24%	28,353	69,355	145%	311,622	341,676	10%

Figure 4: Fund Assets as at 30 September 2016 \$(000)



SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 138 funds (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	September 2016
Minerva Benefits Consulting	57
Comarton Consultants	29
Marsh	45
Zimbabwe Insurance Brokers	3
TOTALS	138

2.0 Pension Fund Membership

Fund membership was composed of 75,297 made up of 47,539 actives (63%), deferred pensioners 17,030 (23%) this was a huge increase from 6,568 :(8%) in the year 2015. This could mean that a large portion of those who were retired between 30 September 2015 and 30 September 2016 are deferred pensioners they have not yet reached retirement age, Pensioners were 6,563 (9%) (2015: 6,604(8%)) and the balance of 4,161 or 6% were beneficiaries. (See Table 2 below).

Table2: Membership for Self-Administered Funds for the period ended 30 September 2016

Adm.	Active members			Deferred			Pensioners			Widows & Others			Exits			Total Membership		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
Minerva	32,650	19,560	-40%	464	11,250	2325%	1,446	1,596	10%	918	907	-1%	1,452	-1,935	33%	35,478	33,313	-6%
Comarton	14,459	14,802	2%	521	106	-80%	2,147	2,104	-2%	1,782	1,750	-2%	-359	-181	-50%	18,904	18,762	-1%
Marsh	13,999	13,020	-7%	5,583	5,674	2%	3,005	2,863	-5%	1,556	1,507	-3%	-264	-327	24%	24,143	23,064	-4%
ZIB	206	157	-24%	0	0	0%	6	0	100%	5	0	100%	5	5	0%	217	158	-27%
Totals	61,314	47,539	-22%	6,568	17,030	159%	6,604	6,563	-1%	4,261	4,164	-2%	-2,070	-2,438	18%	78,742	75,297	-4%

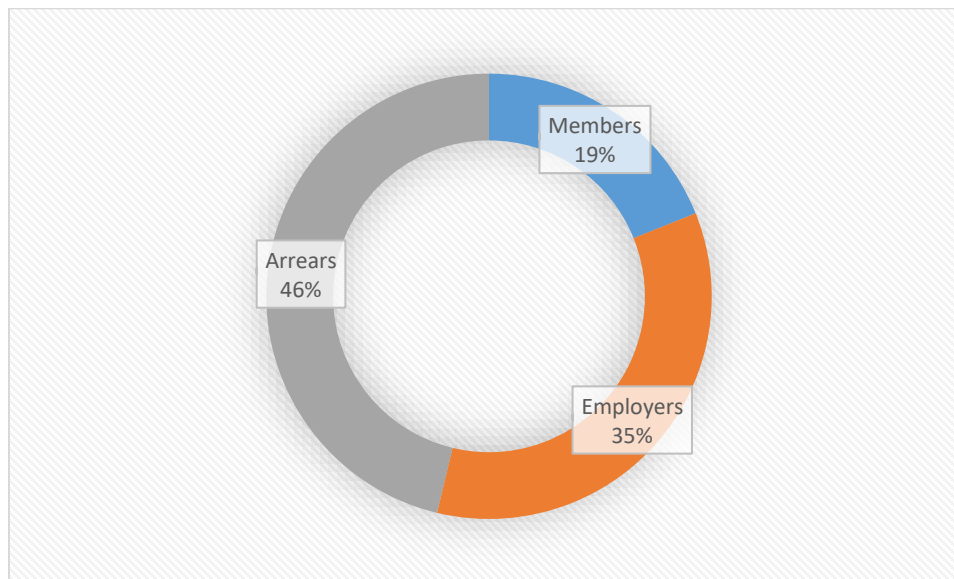
3.0 Contributions

For the cumulative months ended 30 September 2016, total contributions realized by fund administrators were \$42million. Employee contributions remained flat at 15million or 19%, and employers paid \$27million or 35% [September 2015: \$25million or 32%]. However, \$36million or 46% was in arrears [September 2015: \$38million or 49%]. The Commission continues to be open to various modes of payment of arrear contributions including ceding property in favor of the pension fund in lieu of cash or credible payment plans (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Self-Administered Funds for the period ended 30 September 2016

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers			Sep-15	Sep-16	%
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%			
Minerva	7,559	8,229	9%	12,860	15,238	18%	6,187	3,323	46%	3,065	2,988	-3%	29,671	29,778	0%
Comarton	1,830	1,770	-20%	4,049	3,660	-10%	444	428	-4%	18,170	18,267	1%	24,493	24,125	-2%
Marsh	5,607	4,585	-18%	8,293	7,945	-4%	0	0	0%	9,855	10,099	2%	23,755	22,629	-5%
ZIB	17	29	71%	97	59	-39%	29	30	3%	498	587	18%	641	705	10%
Total	15,013	14,612	-3%	25,299	26,902	6%	6,660	3,781	43%	31,588	31,941	1%	78,560	77,237	-2%

Figure 2: Contributions \$(000)



• Income and Expenditure

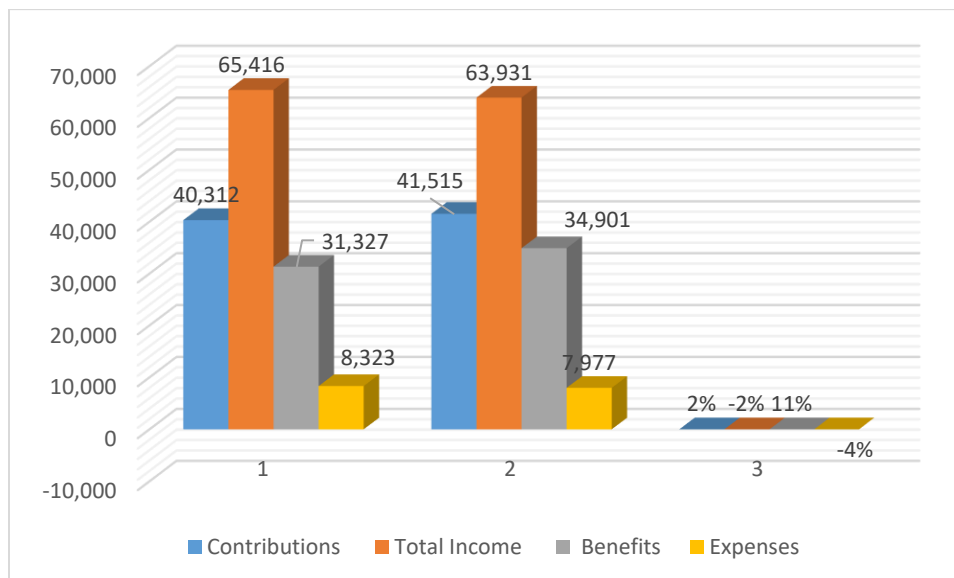
For the year under review, fund administrators collected \$42million in contributions reflecting a growth of 2% from \$40million previously reported. Total income declined by 2% from \$65million to the current \$64million for the period ended 30 September 2016.

The expenses- to- contributions and expenses- to- income ratios were 19% and 12% respectively. The targeted expense ratios are 10% in an effort to safeguard member values and pensions (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the period ended 30 September 2016

Adm	Total Contributions (Excl arrears)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
Minerva	20,419	23,467	15%	33,856	34,667	2%	16,732	20,987	25%	5,378	4,221	-22%	26%	18%	-8%	16%	12%	15%
Comarton	5,879	5,430	-13%	9,603	9,956	4%	3,559	4,226	19%	1,330	1,305	-2%	23%	24%	110%	14%	13%	57%
Marsh	13,900	12,530	-10%	21,839	19,219	-12%	11,019	9,687	-12%	1,585	2,433	54%	11%	19%	8%	7%	13%	21%
ZIB	114	88	-23%	118	89	-25%	17	1	-94%	30	18	-40%	26%	20%	-6%	25%	20%	-5%
Totals	40,312	41,515	2%	65,416	63,931	-2%	31,327	34,901	11%	8,323	7,977	-4%	21%	19%	3%	13%	12%	-1%

Figure 3: Income and Expenditure \$(000)



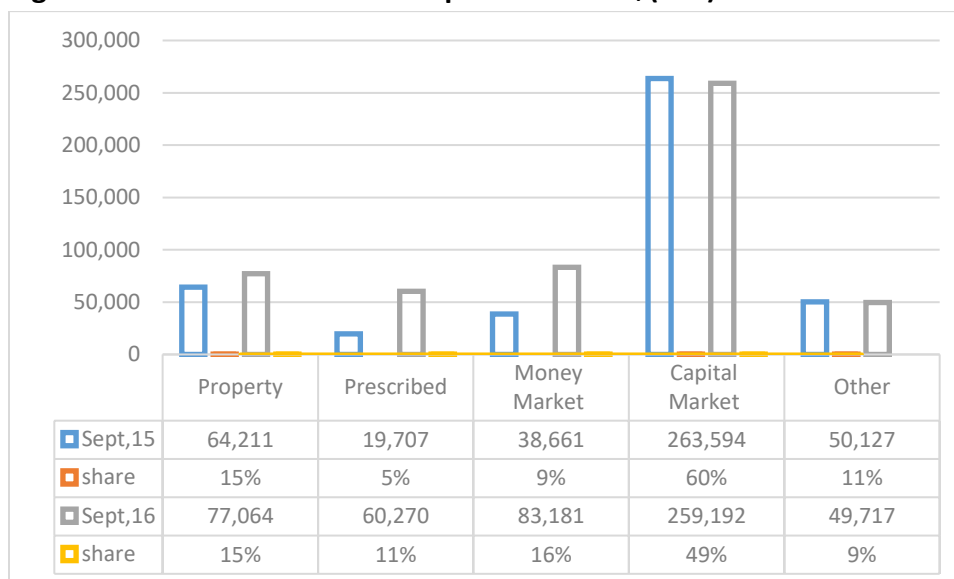
5.0 Fund Assets

As at the year ended 30 September 2016, fund administrators invested \$77million or 15% in properties [September 2015: \$64million or 15%], 49% or \$259million in capital market securities [September 2015: 60% or 264million], 16% or \$83million (2015: 9% or \$39million) in money market, other assets \$50million or 9% and the balance of 11% or \$60million were prescribed assets.

Table 5: Fund Assets Statistics at Market Value for Pension Funds Administered by Fund Administrators

Adm	Immovable Property			Prescribed Assets \$(000)			Money Securities Market			Capital Market Securities			Other \$(000)			Total \$(000)		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
																Sep-15	Sep-16	%
Minerva	18,392	26,503	44%	505	35,580	6946%	0	48,620	-	131,336	135,628	3%	25,438	25,597	1%	175,671	271,928	55%
Comart on	0	4,901	0%	6,681	7,604	14%	21,152	18,556	-12%	63,552	62,733	-1%	0	0	0	91,385	93,794	3%
Marsh	45,819	45,660	0%	12,512	17,046	36%	17,407	16,003	-8%	68,456	60,747	-11%	24,190	23,533	-3%	168,384	162,989	-3%
ZIB	0	0	0%	9	40	344%	102	2	-98%	250	84	-66%	499	587	18%	860	713	-17%
Totals	64,211	77,064	20%	19,707	60,270	206%	38,661	83,181	115%	263,594	259,192	-2%	50,127	49,717	-1%	436,300	529,424	21%

Figure 4: Fund Assets as at 30 September 2016\$(000)



- Circulars and Statutory Instruments**

For the period under review the Commission issued the following circulars to guide the industry on various issues affecting its operations.

The following table summarizes circulars that were issued: -

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016

Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016
Circular Issued	Subject	Date Issued
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular No. 6. Of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular No. 7. Of 2016	One Day Training for the Insurance and Pensions Industry on Anti- Money Laundering/ Combating of Financing Terrorism (AML/CFT)	22 August 2016
Circular No. 8. Of 2016	Seminar on Insurance Broker Trust Accounts	6 September 2016
Circular No. 9. Of 2016	Insurance Products Offered to the Agricultural Sector	20 September 2016

Prescribed Assets Update- 30 October 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	✓ The target amount was \$5million at a coupon rate of 5%, ✓ intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	✓ The target amount was \$20million at a coupon rate of 10%, ✓ intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June and will be fully paid in December
IDBZ Series 2 2014B (US\$50million)	✓ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ✓ Bond has a tenor of 5 years at 9% coupon rate.	As at 22 January 2016, the bank has raised US\$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	✓ Finance the purchase of grain by the Grain Marketing Board ✓ \$50million at a coupon rate of 10.5%p.a	No update at the moment on uptake

Homelink	✓ Development of stands and construction of housing units ✓ Initial bond amount of \$15m. However the applicant is targeting to raise \$50million to complete the project.	No update at the moment on uptake
Honde Hydro Power Consolidated	✓ Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016.
IDBZ Series 1 2015B	✓ \$5million bond at a coupon rate of 9.5% with a tenor of 5 years ✓ To finance housing projects namely New Marimba Park in Harare and Clipshan Views Surburb in Masvingo	Application was approved on the 13 th of May 2016.
Agribank and FBC, 2016/2017 Agrobills	✓ Bond amount of US\$20million, coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	✓ Bond amount of \$15million at 8.5% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription

Conclusion

Various supervisory and engagement efforts which ensure compliancy as well as best practices continued to be undertaken by the Commission. Signs of positive improvement are manifested by the near-compliancy status with prescribed asset ratio, partial recovery of arrear contributions and falling expense ratios. Similar efforts will be intensified with a view to promoting and protecting member benefits and values.